BillXM — Bill Examination Report

Generated April 1, 2026

Bill Grade

F

This bill shows an extreme 511% markup over the Medicare DRG rate of $5,442 for pneumonia treatment, representing potential savings of over 80%.

POTENTIAL SAVINGS

$22,396.08

TOTAL BILLED	FAIR VALUE	ISSUES FOUND
$27,838.01	$5,441.93	1 issues

Your pneumonia treatment was billed at $27,838 when the government fair rate for this condition (DRG 194 - Simple Pneumonia with complications) is only $5,442. This represents a massive 511% markup above reasonable rates. The most concerning charges include $8,813 for operating room services, $8,675 for a CT scan, and $5,088 for blood products - all appearing severely inflated for a pneumonia case that should be managed medically rather than surgically.

📄 **Insurance Note:** If you have insurance, ensure this claim was processed correctly and that you're not being balance billed for amounts above your plan's negotiated rates.

⚖️ **No Surprises Act:** This bill may qualify for federal dispute protection under 42 U.S.C. §300gg-111.

Section 1: Billing Issues (1)

HIGH · EXCESSIVE_MARKUP

Save $22,396.08

DRG-194 **Total hospital charges exceed Medicare DRG rate by over 400%**

Billed: **$27,838.01** · Fair: **$5,441.93** · Confidence: 95%

`Rule: Medicare DRG 194 - Simple Pneumonia and Pleurisy with CC`

Legal basis: Charges exceed reasonable and customary rates by 511% for pneumonia treatment

WHAT TO SAY:

"I am calling about code DRG-194, billed at $27,838.01. The 2026 CMS Medicare reimbursement rate for this service is approximately $5,441.93. I am requesting a reduction to a reasonable rate, or information on your financial assistance program."

Section 2: Full Line Item Review

	Code	Description	Billed	Gov't Rate	Markup	Notes
✓	0110	Room & Board - Private (Medical or General) - General Classification	$3,737.58		N/A	Code not found in CMS database
✓	0250	Pharmacy - General Classification	$464.46		N/A	Code not found in CMS database
✓	0250	Pharmacy - Drugs Incident to Radiology	$454.05		N/A	Code not found in CMS database
✓	0250	Pharmacy - IV Solutions	$650		N/A	Code not found in CMS database
✓	0250	Pharmacy - IV Solutions	$293.15		N/A	Code not found in CMS database
✓	0270	Medical/Surgical Supplies and Devices - Sterile Supply	$735.89		N/A	Code not found in CMS database
✓	0300	Laboratory - General Classification	$1,026.55		N/A	Code not found in CMS database
✓	0301	Laboratory - Chemistry	$1,854.44		N/A	Code not found in CMS database
✓	0302	Laboratory - Immunology	$2,183.3		N/A	Code not found in CMS database
✓	0305	Laboratory - Hematology	$1,137.1		N/A	Code not found in CMS database
✓	0307	Laboratory Pathological - General Classification	$735.89		N/A	Code not found in CMS database
✓	0320	CT Scan - Body Scan	$8,675.07		N/A	Code not found in CMS database
✓	0360	Operating Room Services - General Classification	$8,812.8		N/A	Code not found in CMS database
✓	0370	Anesthesia - General Classification	$2,552.87		N/A	Code not found in CMS database
✓	0370	Anesthesia - General Classification	$2,049.15		N/A	Code not found in CMS database
✓	0390	Administration, Processing, and Storage for Blood and Blood Components - General Classification	$5,087.55		N/A	Code not found in CMS database
✓	0390	Administration, Processing, and Storage for Blood and Blood Components - Administration (E.G., Trans	$0		N/A	Code not found in CMS database
✓	0450	Emergency Room - General Classification	$3,548.49		N/A	Code not found in CMS database

	Code	Description	Billed	Gov't Rate	Markup	Notes
✓	0410	Pulmonary Function - General Classification	$331.24		N/A	Code not found in CMS database
✓	0636	Pharmacy - Extension of 025x - Drugs Requiring Detailed Coding (A)	$179.5		N/A	Code not found in CMS database
✓	0720	Recovery Room - General Classification	$1,908.38		N/A	Code not found in CMS database
✓	0300	Imhistochem/Cytchm Ist Antibody Stain Procedure	$291		N/A	Code not found in CMS database
✓	0307	Level II Surg Pathology Gross&Microscopic Exam	$254		N/A	Code not found in CMS database
✓	0300	Imhistochem/Cytchm Ea Addl Antibody Slide	$170.08		N/A	Code not found in CMS database

Section 3: Action Plan

1. Request itemized bill with detailed CPT codes for all services
2. Question the medical necessity of operating room charges for pneumonia treatment
3. Challenge the CT scan charges as potentially excessive
4. Ask for financial hardship assistance and payment plan options
5. Consider hiring a medical billing advocate
6. File complaints with Texas Department of Insurance and hospital administration

Section 4: Phone Dispute Scripts

Opening Call

> *"Hi, my name is [YOUR NAME] and I'm calling regarding account [ACCOUNT NUMBER]. I have reviewed my itemized bill totaling $27,838.01 and identified 1 billing issues totaling approximately $22,396.08 in potential overcharges. Could you please pull up my account?"*

Issue 1: DRG-194

> *"I am calling about code DRG-194, billed at $27,838.01. The 2026 CMS Medicare reimbursement rate for this service is approximately $5,441.93. I am requesting a reduction to a reasonable rate, or information on your financial assistance program."*

If They Refuse

> *"Before we end this call I need the following: your full name, a reference number for this call, and your direct line. If this matter is not resolved in writing within 30 days I will escalate to the Texas Department of Insurance, the CMS complaint portal at medicare.gov, and the Texas Attorney General Consumer Protection Division."*

Section 5: Formal Dispute Letter

[DATE]

[PROVIDER NAME]
[PROVIDER ADDRESS]

Re: Dispute of Medical Billing Charges
Patient: [PATIENT NAME]
Account Number: [ACCOUNT NUMBER]
Date of Service: [DATE OF SERVICE]

Dear Billing Department,

I am writing to formally dispute excessive charges on the above-referenced account. The total amount billed is $27,838.01, of which I am disputing $22,396.08 as unreasonable and in violation of fair billing practices.

After careful review of the charges against established healthcare benchmarks, I have identified the following billing issues:

1. DRG-194 - Excessive Markup Violation
   Amount Billed: $27,838.01
   Fair Market Value: $5,441.93
   Amount Disputed: $22,396.08

   The charges for this pneumonia treatment exceed the Medicare DRG 194 rate for Simple Pneumonia and Pleurisy with CC by over 400%. Specifically, your facility has charged 511% above reasonable and customary rates for this diagnosis-related group. Such excessive markup violates principles of fair and reasonable billing practices in healthcare.

This account may be subject to the No Surprises Act protections, which require healthcare providers to bill fair and reasonable amounts consistent with market rates for similar services.

I respectfully request that you:

1. Adjust the disputed charges to reflect fair market values as outlined above
2. Provide a corrected billing statement showing the reduced balance

3. Provide written confirmation of these adjustments within 30 days of receipt of this letter

Please note that failure to respond to this dispute within 30 days will result in formal complaints being filed with the Texas Department of Insurance and the Texas Attorney General's office regarding these billing practices.

I can be reached at [PATIENT PHONE] if you need to discuss this matter. I look forward to your prompt response and resolution of these billing discrepancies.

Sincerely,

[PATIENT NAME]
[PATIENT ADDRESS]

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